

Another friend decided that he wanted to stimulate and encourage artists in Latin America. He set up a prize—\$10,000—for the most promising artist of the year. He handed out his prize—and then, he brought the winning artists to Paris, where he lived, and introduced them to the galleries in town.

He also bought the artists' works. By the time he died, he had a whole apartment stuffed with them. He had bought the works when the artists were unknown. He paid a couple hundred dollars each. He never sold a single one until late in life. Then, he put two of them up for auction. They sold for \$185,000 each.

It happens. Things you want to do can be very profitable. It may also be true of a much more widely held asset: real estate. An advertisement ran in the *New York Times* in 1912. It offered a house on the coast of California, in a place that must have been little known to New Yorkers of the time: Malibu Beach. The house was for sale at \$2,500.

That may have been a lot of money at the time. It was just about the same as 110 ounces of gold. We have not been able to identify that specific house, but it is likely that the house—updated, rebuilt, expanded, tarts up to 21st-century standards—might sell for more than \$10 million, or 6,200 ounces of gold at today's price.

The rate of return per year is much more modest—only 8.73 percent. But what a way to make your money! The family had the pleasure of living and using the house for a century—and made \$9 million to boot.

Note also that real estate proved an effective way to build family wealth for three reasons:

1. Growth of the United States, and especially California, pushed the price of choice properties up faster than GDP growth rate over a very long time.
2. There were no income or capital gains taxes to pay along the way. You pay property taxes, upkeep, maintenance, and so forth. But those are just the costs of maintaining a house.
3. There was no "liquidity event" to tempt the spenders in the family or to divide up the family asset. A "liquidity event" happens when a family business or family asset is sold. It brings cash into a family. This is usually a prelude to disaster. Cash is dispersed to family members,